



HENRY CLEWS

1834–1923

Like many other successful investors, Henry Clews was known for his flamboyance. For example, he advertised that he would conduct stock and bond trades for his clients at one-half the cost of other firms (discount brokerage services long before Fidelity or Charles Schwab), which was considered outrageous for the time. "This was such a bombshell in the camp of these old fogies," he wrote, "that they were almost paralyzed." But Clews had to do what was considered radical for his time to break into the old-boy network. The materialistic world of Wall Street was a far cry from the career his parents had desired for him—the ministry. That prospect fell by the side when Clews, who was born in England, visited New York in 1850 and was seduced by the American lifestyle.

Clews started out as a clerk for a large importer before moving over to the financial side of the business. Ever ambitious, Clews and several of his friends opened a private bank on Wall Street. Next he set his sights on joining the New York Stock Exchange, which he joined shortly after the panic of 1857, during which prices fell about 50 percent. "This crisis sounded the death knell of old fogysm in the 'street,' " Clews wrote. "A younger race of financiers arose and filled the places of the old conservative leaders." For all his flamboyance, Clews was a value investor. He understood that "at the bottom of all this turbulent mass of facts there are natural laws at work which, if we study them in relation to the objects which they control, will be found to be as sure in their operation as sunrise."

In 1908, Clews published *Fifty Years in Wall Street*, which has proved indispensable for anyone studying both history and the markets. After all, Clews rubbed shoulders with the great financiers such as J. P. Morgan and the notorious robber barons such as Cornelius Vanderbilt, and he took the time to record history and his own thoughts, including what it takes to succeed on Wall Street. One of the problems investors face, he said, is their unwillingness "to act on conclusions that conflict with their desires . . ." In *The Study of the Stock Market*, Clews provides a list of characteristics that every investor must embrace.